

companies with an exemplary record of shutting their own gates are Longleaf, Numeric, Oakmark, T. Rowe Price, Vanguard, and Wasatch.

**They don't advertise.** Just as Plato says in *The Republic* that the ideal rulers are those who do not want to govern, the best fund managers often behave as if they don't want your money. They don't appear constantly on financial television or run ads boasting of their No. 1 returns. The steady little Mairs & Power Growth Fund didn't even have a website until 2001 and still sells its shares in only 24 states. The Torray Fund has never run a retail advertisement since its launch in 1990.

What else should you watch for? Most fund buyers look at past performance first, then at the manager's reputation, then at the riskiness of the fund, and finally (if ever) at the fund's expenses.<sup>8</sup>

The intelligent investor looks at those same things—but in the opposite order.

Since a fund's expenses are far more predictable than its future risk or return, you should make them your first filter. There's no good reason ever to pay more than these levels of annual operating expenses, by fund category:

- Taxable and municipal bonds: 0.75%
- U.S. equities (large and mid-sized stocks): 1.0%
- High-yield (junk) bonds: 1.0%
- U.S. equities (small stocks): 1.25%
- Foreign stocks: 1.50%<sup>9</sup>

Next, evaluate risk. In its prospectus (or buyer's guide), every fund must show a bar graph displaying its worst loss over a calendar quarter. If you can't stand losing at least that much money in three months, go elsewhere. It's also worth checking a fund's Morningstar rating. A leading investment research firm, Morningstar awards "star ratings" to funds, based on how much risk they took to earn their returns (one star is the worst, five is the best). But, just like past performance itself, these ratings look back in time; they tell you which funds were the best, not which are going to be. Five-star funds, in fact, have a disconcerting habit of going on to underperform one-star funds. So first find a low-cost fund whose managers are major shareholders, dare to be different, don't hype their returns, and